

DOING THE MATH

Accounting software can't make child's play of managing accounts, but it can go a step in that direction

Accounting is an important and integral aspect of any business, and can be a key component in its success. Accounting software provides you with the tools and information to keep your financial records in check, but there are many packages available, and determining the one that suits you is a bit tricky.

QUESTIONS TO ASK

What accounting modules are present?

Accounting modules are categories required to successfully maintain your business finances (such as Accounts Payable and Accounts Receivable). Does the accounting software have all the basic accounting modules you'll need? The

bells and whistles of the software are irrelevant if the basics aren't covered.

What reporting features are available in the software?

Consider an accounting software that offers a wide range of reports. You should be able to print at least one kind of report for every module. Reporting features are often built into each section, but it's better if you can create reports from anywhere in the program. Customisable reports save you time; look for accounting software that will let you set your own criteria.

How easy is it to use the software?

Look for software that is simple to install, set up, and understand. The best account-

ing programs make navigating intuitive, so you never have to guess where you are or what to do next.

What about help and support?

Look for e-mail and phone support; toll-free and live support as well as online help is a bonus. Online, you can look for indexed help topics that can be searched easily. You'll want quick access for both technical help and accounting help for your software. Accounting software

What To Look For

Accounts Receivable: Sales of products, goods, or services rendered, including invoices and shipping for sales. It should provide age-wise reports of debtors.

Accounts Payable: This involves paying bills, writing cheques, paying vendors, making purchase orders, and creating quotes and memos. It should provide age-wise reports of creditors. Prefer accounting software that has provision for bad debts. You should be able to create custom purchase orders, quotes, and vendor credit memos; and also be able to print cheques, tax forms, and customise vendor cheques.

Payroll: This section has everything you need to process payroll quickly and easily. You can run payroll for some or all employees, print cheques, void cheques or directly deposit funds. Look for details of PF, ESIC, number of employees, and calculation of total tax payable for each employee.

Inventory: This includes tracking product numbers, supplier contact information,

stocking locations, and different cost methods. Look for an integrated system along with variance reports.

Banking: The software should feature bank reconciliation statements with details of post-dated cheques. It should alert the user whenever cash balance or bank balance exceeds debit balance, and have a facility to specify exchange rates and conversion into INR.

Time Billing: Create expense tickets, daily and weekly time tickets, reports and sales invoices—all printable. Self-billing is preferable; the purchaser will bill the amount and give it to the contractor.

Job Costing: With this tool, you can estimate costs for specific jobs, specify cost codes, and divide jobs according to their phase. You can also track jobs and specify completion.

General Ledger: Here's where you change accounting periods, make ledger entries, and register accounts.

Busy
Business Accounting Software

companies should have qualified people—both technicians and accountants—who can answer tricky questions.

Will the finance software grow with your company?

Look for accounting software that lets you grow and customise your system to fit your individual business needs. In short, the accounting software should be able to adapt to your company's growth.

Does the software have a Fixed Assets feature?

This is the least common of features, yet it is of enormous importance. The software should be able to calculate depreciation as per the income tax act and company act, and according to written-down value method and/or straight line method. A location-wise fixed asset register should also be maintained. It should be able to manage as many fixed assets as you may require. ■